

Macroeconomic analysis:

Trade Balance, Tourism, and Foreign Direct Investment

Overview

To estimate the intrinsic value of the USD against the Tunisian Dinar (TND), we propose a macroeconomically grounded approach that weights Tunisia’s real exposure to major international currencies through its external sector. The analytical framework centers around three macro-financial channels: Trade balance (exports & imports), Tourism, and Foreign Direct Investment (FDI).

This tri-pillar approach is not only empirically observable in Tunisia’s Balance of Payments (BOP) as published by the Banque Central Ban of Tunisia (BCT) and national institute of statistics (INS), but also reflects the actual foreign currency inflows and outflows that determine real demand for and supply of foreign exchange. Each component is chosen based on its structural and quantitative importance.

1. Trade Balance (Exports and Imports)

Economic Rationale:

- ✓ Trade (goods and services) is the largest and most continuous channel through which Tunisia interacts with foreign currencies.
- ✓ In 2023, Tunisia exported over 62 billion TND and imported over 79 billion TND in goods and services, with Europe being the main partner and EUR the dominant invoicing currency.
- ✓ These transactions define the baseline pressure on the exchange rate: demand for imports generates demand for foreign currency, while exports contribute to foreign currency supply.

Data:

Trade Balance: Exports				
Year	Euro	Dollar	GBP	YEN
2017	78,9%	17,3%	0,4%	0,1%
2018	79,5%	16,8%	0,4%	0,1%
2019	79,4%	17,6%	0,3%	-
2020	80,6%	16,8%	0,3%	-
2021	77,7%	19,6%	0,4%	-
2022	74,7%	22,9%		
2023	78,8%	19,1%		
Average	78,5%	18,6%	0,4%	0,0%

Trade Balance: Imports				
Year	Euro	Dollar	GBP	YEN
2017	58,0%	40,2%	0,4%	0,4%
2018	55,3%	43,0%	0,4%	0,6%
2019	55,0%	43,5%	0,3%	0,4%
2020	55,2%	43,4%	0,3%	0,3%
2021	54,5%	44,2%	0,3%	0,4%
2022	49,3%	49,4%		
2023	54,1%	39,9%		
Average	54,5%	43,4%	0,3%	0,4%

Trade Balance				
Year	Euro	Dollar	GBP	YEN
2015	46,0%	45,6%	0,3%	1,4%
2016	48,5%	42,3%	0,3%	1,6%
2017	49,1%	43,1%	0,3%	2,8%
2018	52,3%	43,6%	0,2%	2,6%
2019	52,8%	45,2%	0,2%	0,2%
2020	48,5%	43,0%	0,2%	1,8%
Average	49,5%	43,8%	0,3%	1,7%

2. Tourism Receipts

Economic Rationale:

- ✓ Tourism represents a direct injection of foreign currency into the domestic economy, primarily in cash (spot) form, mostly denominated in EUR, GBP, and to a lesser extent USD.
- ✓ It captures short-term flows linked to travel, lodging, and services, which are not captured in trade statistics but are real currency-generating mechanisms.

Data:

Tourism				
Year	Euro	Dollar	GBP	YEN*
2017	54,7%	24,2%	1,3%	
2018	57,6%	24,0%	2,2%	
2019	57,0%	25,3%	2,7%	
2020	56,3%	23,0%	1,3%	
2021	53,5%	26,1%	0,8%	
2022	60,5%	23,8%	2,2%	
2023	62,8%	21,4%	2,6%	
Average	57,5%	24,0%	1,9%	

*Note: not mentioned in the Trade Balance report

3. Foreign Direct Investment (FDI)

Economic Rationale:

- FDI captures long-term confidence and strategic commitments from foreign investors.
- FDI inflows not only finance growth but also directly inject hard currency (usually in EUR or USD) into Tunisia's financial account, often converted into local currency or retained in foreign exchange accounts.

Data:

DFI in MTND						DFI in %					
Year	Euro	Dollar	GBP	YEN	World	Year	Euro	Dollar	GBP	YEN	World
2019	627	230	54	14	1 729	2019	36,3%	13,3%	3,1%	0,8%	100,0%
2020	155	93	44	12	985	2020	15,7%	9,4%	4,5%	1,2%	100,0%
2021	267	389	71	34	1 622	2021	16,5%	24,0%	4,4%	2,1%	100,0%
2022	85	332	15	34	1 356	2022	6,3%	24,5%	1,1%	2,5%	100,0%
2023	59	311	89	21	1 332	2023	4,4%	23,3%	6,7%	1,6%	100,0%
Average	239	271	55	23	1 405	Average	15,8%	18,9%	4,0%	1,6%	100,0%

Integration into Currency Weighting Framework

The three pillars discussed earlier (trade, tourism, FDI) cover:

- Structural (long-run) flows: FDI
- Transactional (medium run) flows: Trade
- Seasonal/volatile (short run) flows: Tourism

This allows a comprehensive estimation of Tunisia's currency exposure and thus forms a solid theoretical basis to construct a currency-weighted synthetic basket of EUR, USD, GBP, and JPY for deriving the intrinsic value of USD/TND.

Currency	Weight
Euro	41,0%
Dollar	28,9%
GBP	2,0%
YEN	1,7%

Sources:

<https://www.bct.gov.tn/bct/siteprod/documents/Balance.pdf>

<https://www.bct.gov.tn/bct/siteprod/documents/Balance.pdf>

<https://www.bct.gov.tn/bct/siteprod/documents/balance2020.pdf>

<https://www.bct.gov.tn/bct/siteprod/documents/balance2021.pdf>